

The rate at which we will be charged is based on the category under which our current taxable income falls (after all the deductions and exemptions). For the first Rs. 2.5 lac (first slab), we will pay 'nil' tax. Then, for the next Rs. 2.5 lac (2nd slab, Rs. 2.5 - 5 lac), we will pay tax at 5%. For the next Rs. 5 lac (3rd slab, Rs. 5 - 10 lac), we will pay tax at 20% and similarly, for anything exceeding Rs. 10 lac (4th slab), the tax will be paid at 30%.

